

Divis Laboratories Ltd

DIVISLAB

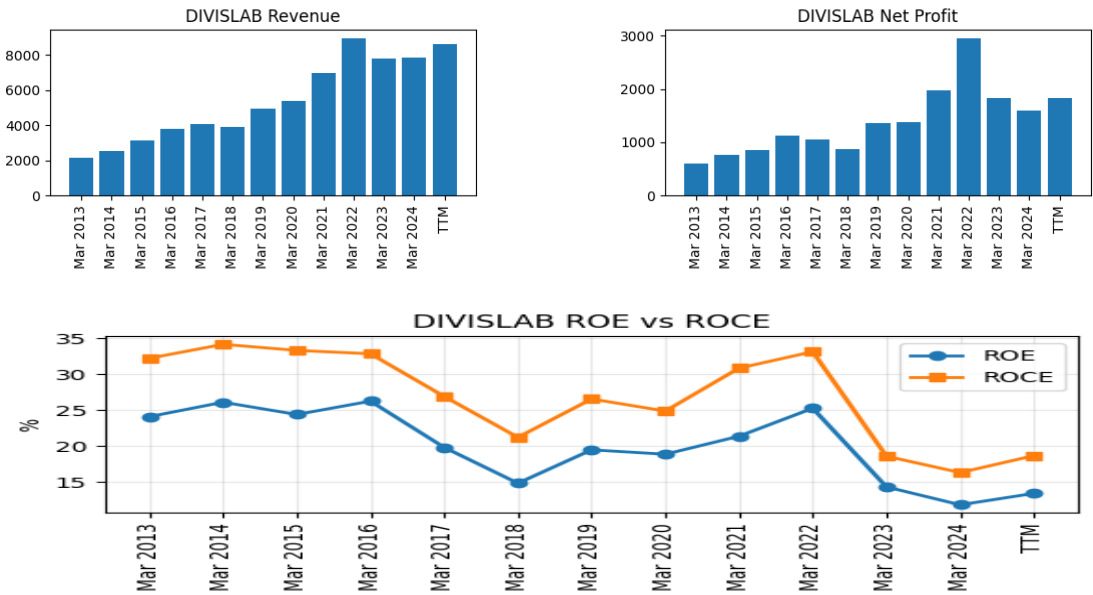
Key Financial Metrics

ROE 13.38%	ROCE 18.64%	Debt / Equity 0.00
Revenue CAGR 12.51%	FCF Conversion 78.81%	Quality Score 47.85

Company Profile

Company	Divis Laboratories Ltd
Sector	Healthcare
Industry	Pharmaceuticals
Market Cap (■ Cr)	1,615,028.67
P/E Ratio	69.95
P/B Ratio	12.34
Dividend Yield	1.39%

Financial Performance



AI Investment Summary

Divis Laboratories Ltd currently faces multiple financial challenges that increase investment risk. It currently has moderate profitability, average capital efficiency, steady revenue growth, moderate cash-flow quality and conservative leverage. The overall financial quality score is 47.9/100. Key strengths include: Operating profit margin above 25% indicates strong pricing power and cost discipline.; Very high interest coverage ratio reflects negligible financial stress from debt servicing.. Key risks include: No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.. Investment recommendation: Reduce. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Operating profit margin above 25% indicates strong pricing power and cost discipline. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.

Investment Recommendation

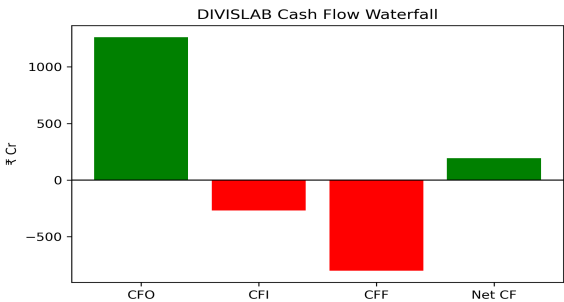
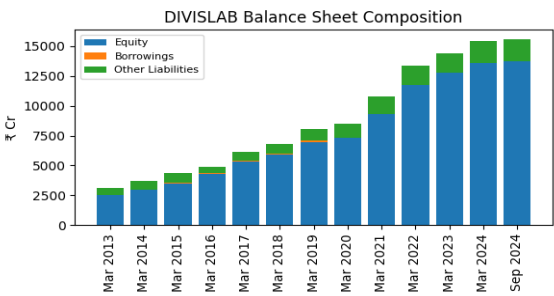
Recommendation	REDUCE
Risk Level	HIGH
Confidence	LOW

Recommendation Reason:

The recommendation is based on an adjusted financial score of 47.9/100, supported by 2 identified strengths, 1 identified risks, and cash-flow quality rated as Moderate.

Adjusted Score: 47.9

Balance Sheet & Cash Flow



Financial Health

Profitability	Moderate
Growth	Strong
Cash Flow	Weak
Leverage	Strong
Valuation	Expensive

Capital Allocation

Reinvestor